Bangladesh Bank
Monetary Policy Statement
14 January, 2007

Executive summary

Background: This is the third issue of the half yearly Monetary Policy Statement (MPS) outlining the monetary policy stance that the Bangladesh Bank (BB) shall pursue over the coming quarters; ex-ante announcement of the monetary stance is intended to anchor inflation expectations of the market participants and the general public in the prevailing market based interest rate and exchange rate regime for Taka.

Objectives, targets, instruments: As mentioned in the previous issues of the MPS, monetary policies pursued by the BB aim at supporting the highest sustainable output growth while maintaining price stability, adjusting smoothly to the internal and external shocks faced by the economy from time to time. Monetary policies are accordingly designed around a projected real GDP growth rate and a moderate level of CPI inflation attainable/sustainable without unduly depressing output. Reverse repo, repo interest rates are the routinely employed policy instruments for influencing financial and real sector prices towards the targeted path for inflation. Cash Reserve Ratio (CRR) and Statutory Liquidity Ratio (SLR) for banks are less frequently used instruments that directly influence available volumes of credit. Annual monetary programs based on the projected real GDP growth and targeted inflation rate employ Reserve Money (RM) and Broad Money (M2) as intermediate targets, while also tracking other asset and liability side sub-aggregates.

Growth outcome and outlook: Following the 6.7 percent real GDP growth of FY06, economic activities in H1 FY07 have remained strong, supported by robust export and domestic demand, despite recent disruptions from pre-election political unrests. The upper end of the 6.5 – 6.8 percent FY07 growth projection reported in the July 06 MPS look attainable, subject to restoring conducive political environment and ending the disruptions to economic activities.

Inflation outcome and outlook: The cautiously restrained monetary stance pursued since H2 FY05 has paid dividend in curbing inflationary pressure from excess demand, annual average CPI inflation which peaked at 7.16 percent in June 06 (breaching the targeted 7.00 percent ceiling) has declined to 6.85 percent by November 06. The expected easing of global commodity prices attendant to the projected slight slowdown of the global economy in 2007 should help further easing of domestic inflation in Bangladesh. On the other hand, the political unrests, if prolonged, will significantly disrupt output, distribution and export activities; creating shortages and new inflationary pressures. On balance, annual average CPI inflation is projected to be in the 6.85- 6.95 percent range in H2 FY07.

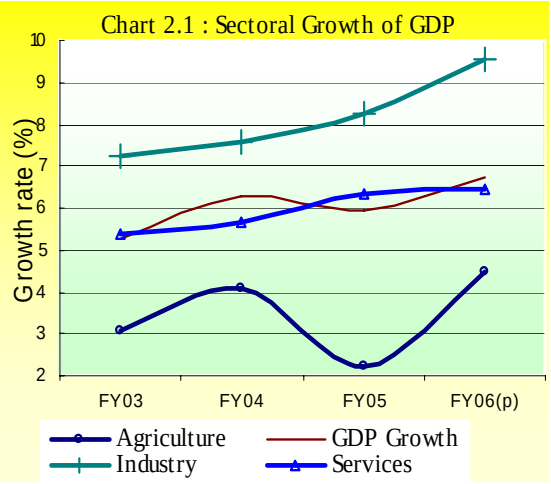
Policy stance for H2 FY07: Monetary policies in H2 FY07 will continue to aim at supporting annual real GDP growth of 7.0 percent, while keeping inflationary pressures under control. Growth of credit to the public sector in H1 FY07 has far exceeded the initial projections, utmost restraint in bank borrowing by the public sector will be needed in H2 FY07 to contain overall credit growth within the projected levels while ensuring that the growing credit needs for output activities in the private sector are catered to adequately.

1. Introduction

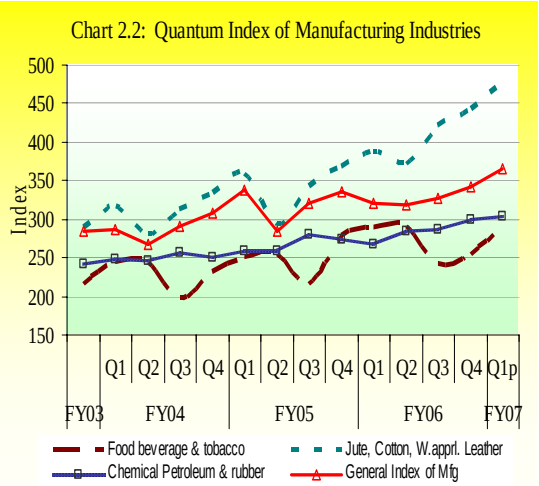
Global output growth is projected to slow down slightly in 2007 (IMF, *WEO*, Sept. 06), following three successive years of above trend growth. Despite a still large overhang of global liquidity, most of the major economies have already switched from tightening to neutral stance of monetary policy, keeping interest rates poised to move downward or upward according as growth slackens or strengthens. The easing of global commodity prices attendant to global growth slowdown should help ease inflation in Bangladesh. Demand for exports from Bangladesh may also weaken with slowdown in major economies, but this effect is likely to be small in mild slowdown, particularly in respect of the low value basic apparels comprising the bulk of exports. Disruptions from the recent pre-election political unrests are substantive risks to output growth and price stability in the near term in Bangladesh.

2. Macroeconomic developments: outcome and outlook

2.1 Growth: Real GDP growth has averaged six percent in the last four years up to FY06 (Chart 2.1), a significant upward trend-shift from the 4.8 percent average annual growth during FY91-FY00. The consequent improvement in economic well being is also reflected in the decline of poverty by 1.8 percentage points a year during 2000-2005. Following the 6.7 percent real GDP growth in FY06, economic activities have remained strong in H1 FY07, well supported by robust domestic and export demand. Despite major shortfall in receipt of expected official external assistance, inflows from exports and workers' remittances have supported continuing buildup of foreign exchange reserves (touching four billion US dollars for the first time ever in early January 2007) after meeting payments for robustly growing imports (17.7 percent year on year in the first four months of FY07) and other obligations.



Source: *Bangladesh Bureau of Statistics (BBS*



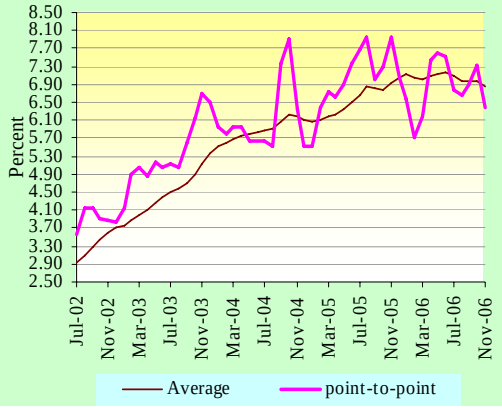
Source: *Bangladesh Bureau of Statistics (BBS)*

In agriculture, harvest of the minor rice crop Aus has fallen short of the previous year's output (1.51 million tons against previous year's 1.75 million tons), but harvest of the major Aman rice crop is expected to exceed last year's level. Weather conditions remain benign for the other major rice crop boro and the various winter crops like maize, wheat, pulses, spices. Subject to timely available of inputs like seeds, fertilizers and irrigation, agriculture sector output growth in FY07 is expected to be above trend, although unlikely to touch the FY06 high of 4.5 percent.

In industry, substantial new capacity additions in the past few years in apparels and textiles have supported strong output growth driven by export demand. Exports have grown 23.4 percent year on year in the first four months of FY07. The apparels export sector has recently faced issues of wage levels and working conditions for laborers and failure to address these issues may threaten their export market share. In industrial sectors other than apparels and textiles, substantial new capacities have commenced output in cement, hard rock, coal, pharmaceuticals, healthcare, hospitality and so forth, the growth buoyancy evidenced in movement of the quantum index of manufacturing (Chart 2.2). The buoyancy of growth in industry and agriculture is supporting correspondingly robust growth in services. Accordingly, overall GDP growth is expected to touch the upper end of the 6.5–6.8 percent range projected in the July 06 MPS, unless marred by political uncertainty and its associated disruptions.

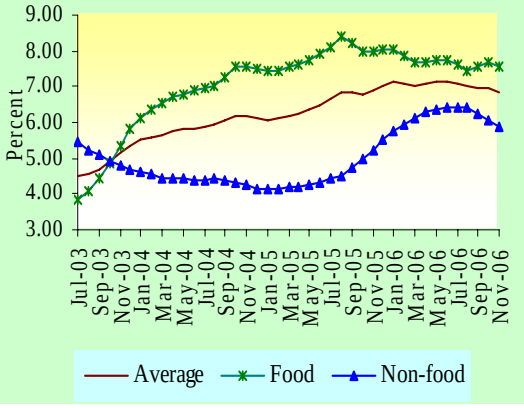
2.2 Inflation: Annual average CPI inflation, on slow up-creep from June 02, has lately been edging down slowly in H1 FY07 (Charts 2.3, 2.4). It will be noted in chart 2.4 that up to around Q1 FY06, inflationary pressure was much higher on the food component of the consumption basket than on its non food component. Thereafter, non-food prices edged up (due, inter alia, to upward revisions of administered energy prices) while food prices eased to some extent, with overall slow decline commencing in H1 FY07. With the easing of global oil prices, the upward revision of administered domestic prices may not need to be as drastic as surmised earlier; and the decline in domestic inflation is likely to be aided further in H2 FY07 by the expected easing of commodity prices associated with the projected modest global growth slowdown in 2007. On the other hand, the frequent disruptions to economic activities associated with the pre-election political stalemate and unrests have affected output and delivery, creating shortages and new inflationary pressures. On balance therefore, annual average CPI inflation in H2 FY07 is projected to be in the range of 6.85-6.95 percent.

Chart 2.3: Inflation rate



Source: *Bangladesh Bureau of Statistics (BBS)*

Chart 2.4: Inflation rate



Source: *Bangladesh Bureau of Statistics (BBS)*

2.3 External sector: External sector viability improved in FY06, with turnaround of the current account balance to surplus from previous year's deficit. Helped by the market based floating exchange rate of Taka, exports and inward remittances from workers abroad grew strongly by 21.6 percent and 24.8 percent respectively in FY06, while import growth moderated to 12.2 percent from the previous year's high of 20.6 percent. Consolidation of external sector viability has continued in H1 FY07, with exports and imports growing by 23.4 percent and 20.2 percent year on year in the first four months. Inward remittances from workers abroad have risen 31.4 percent year on year in the first six months of FY07. The strong external sector position has enabled buildup of foreign exchange reserve (touching four billion US dollars for the first time in early January 2007), exchange rate of Taka against the US dollar has moved both ways flexibly, with occasional episodes of appreciation.

The anticipated mild global economic slowdown in 2007 may cause some slackening of growth in exports and workers' remittance receipts, but the risk of export disruption due to the recent political unrest remains the main immediate concern affecting external sector outlook in H2 FY07.

2.4 Fiscal deficit and financing: Overall deficit in the government's revised FY06 budget amounted to Tk. 161.90 billion or 3.9 percent of GDP, funded by Tk 24.76 billion in foreign grants, Tk. 55.74 billion in foreign loans and Tk 81.40 billion in domestic borrowing including bank borrowing of Tk. 49.11 billion. The budget for FY07 projects a deficit of Tk. 171.98 billion or 3.7 percent of GDP, to be funded by Tk. 25.08 billion in foreign grants, Tk. 58.56 billion in foreign loans and Tk. 88.34 billion in domestic borrowing including bank borrowing of Tk. 54.34 billion.

Government's bank borrowings first originate in the books of the BB in its role as banker to the government. The BB offloads the bulk of these debts in auctions of Treasury bills and bonds. The BB's monetary policy operations and its role in management of government debt stood commingled in this practice, up to FY06. From the beginning of FY07 modified arrangements under the supervision of a Cash and Debt Management Committee (CDMC) chaired by Secretary, Finance Division have been put in place. The new arrangements include a widened Ways and Means Advance limit (Tk. 10.00 billion instead of the previous Tk. 0.65 billion) and auction of treasury bills and bonds according to volumes pre-announced in the borrowing calendar. The volume auctions introduced from September 06 have segregated the BB's role in government debt management from its monetary policy operations, but there is as yet no inbuilt mechanism to limit government's bank borrowings within the ceilings of budgetary provisions.

The government's receipts of net foreign financing fell far short of estimates in H1 FY07, revenue receipts also lagged budgetary estimates substantially. The shortfalls in receipts vis-à-vis expenditure have caused bank borrowing of the government to swell unusually in H1 FY07, the estimated Tk. 63.50 billion net new borrowing has exceeded the budgetary estimate of Tk. 54.34 billion by a large margin. To restore adherence to the budgetary provisions, the bank borrowing levels will need to be brought down sharply in H2 FY07 by mobilizing additional revenues and additional foreign assistance as well as by limiting expenditure; a challenging situation compounded further by the recent political unrests. Completion of the long awaited sale of Rupali Bank Ltd. to the highest bidding foreign buyer could substantially help ease the current pressure on government finances.

3. Monetary Policy stance

3.1 Recent monetary developments: The cautious, restrained monetary stance pursued since H2 FY05 with a view to curbing excess demand from inflationary expectations has maintained interest rates on an upward bias (Table 3.1, Charts 3.1, 3.2).

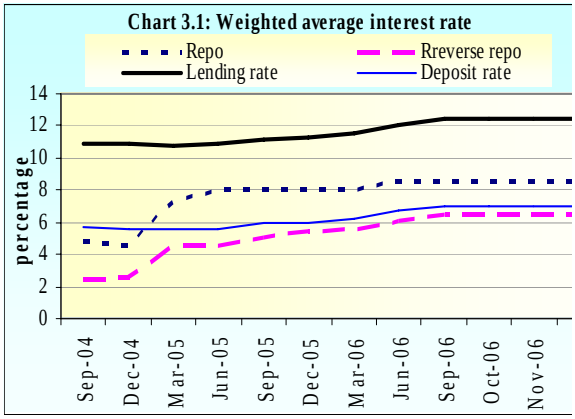
The stance has succeeded in limiting inflation to levels close to or under the targeted (seven percent) ceiling, while allowing for adequate expansion of broad money and domestic credit (Table 3.2, Chart 3.3) to support economic growth. Net foreign assets of the banking system has also been growing, supporting

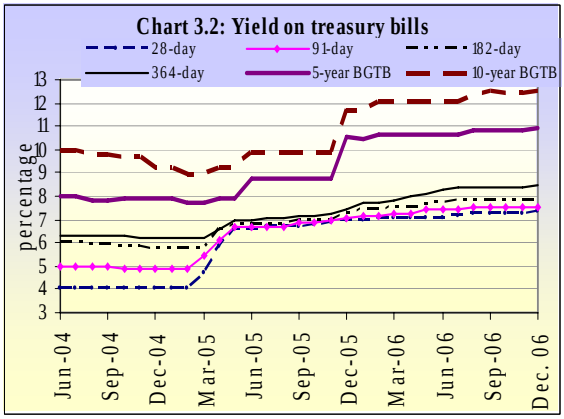
Table: 3.1 Interest Rate (Weighted Average) Development

Period	Treasury Bills				BB Bills		BGTB		Repo	Rev. Repo	Call Rate	Lending Rate	Deposit Rate
	28-Day	91-Day	182-Day	364-Day	30-Day	91-Day	5-Year	10-Year	1-2 Day	1-2 Day			
FY 06													
Jul	6.64	6.70	6.80	7.03	...	...	...	...	...	4.56	5.42	...	...
Sept	6.72	6.85	6.98	7.13	...	...	...	...	...	5.02	6.09	11.15	5.90
Dec	6.96	7.02	7.20	7.45	...	...	10.50	11.65	...	5.50	8.40	11.25	5.90
Mar	7.05	7.25	7.49	7.85	...	...	...	...	...	5.60	17.15	11.60	6.26
Jun	7.10	7.43	7.75	8.30	...	...	10.65	12.10	...	6.04	10.84	12.06	6.68
FY 07													
Jul	7.15	7.45	7.82	8.35	...	...	...	...	...	6.22	7.56	...	...
Sep	7.24	7.55	7.83	8.38	...	...	10.86	12.49	...	6.49	7.36	12.41	6.98
Dec	7.33	7.52	7.84	8.45	7.37	...	10.89	12.49	...	6.50	7.16	...	...

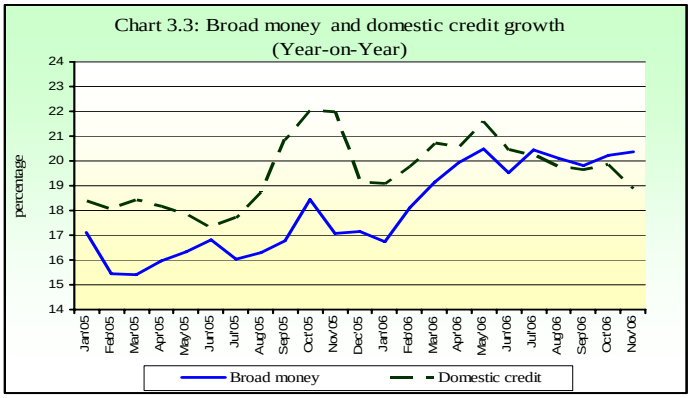
Source: MPD, FRTMD, Statistics Department, Bangladesh Bank .

build up of foreign exchange reserves. Credit to the private sector has grown by 18.8 percent year on year as of November 06, clearly indicating that the government's bank borrowings have not impacted adversely on access to credit for the private sector.





The 18.9 percent year on year growth rate of domestic credit as of November 06 is higher than the projected nominal growth rate of GDP, the difference now probably arising largely from increased financial deepening rather than from excess demand fueled by inflationary expectations (financial deepening measures broad money as percentage of GDP and credit to private sector as percentage of GDP increased from 40.9 percent and 29.9 percent in FY05 to 43.5 percent and 31.5 percent respectively in FY06, these levels are still much lower than in neighboring India or Pakistan).



Gradual deepening and enhanced efficiency of the financial system will enhance its resilience, contributing to monetary stability. The increasing trend of financial deepening shows the significant role of financial intermediation in economic activity, especially by the private sector banks (PCBs). However, the increasing trend of spread of PCBs (5.22% in September 2006 vis-à-vis 5.05% in June 2006) resulting in higher lending rate may hamper economic growth by raising cost of borrowing by entrepreneurs. The banks should increase their efficiencies and develop better competitive environment to provide improved services to the depositors and borrowers.

3.2 Monetary stance for H2 FY07: Monetary policies aimed at supporting real annual GDP growth of seven percent will continue unchanged in the cautious and restrained stance in H2 FY 07 keeping in view the prevailing external situation and the internal risks to price stability posed by the domestic situation mentioned in the foregoing paragraphs. The policy stance will of course be adapted promptly and flexibly in the face of any unfolding development, with special attention to the credit needs of sectors promoting and supporting economic growth.

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